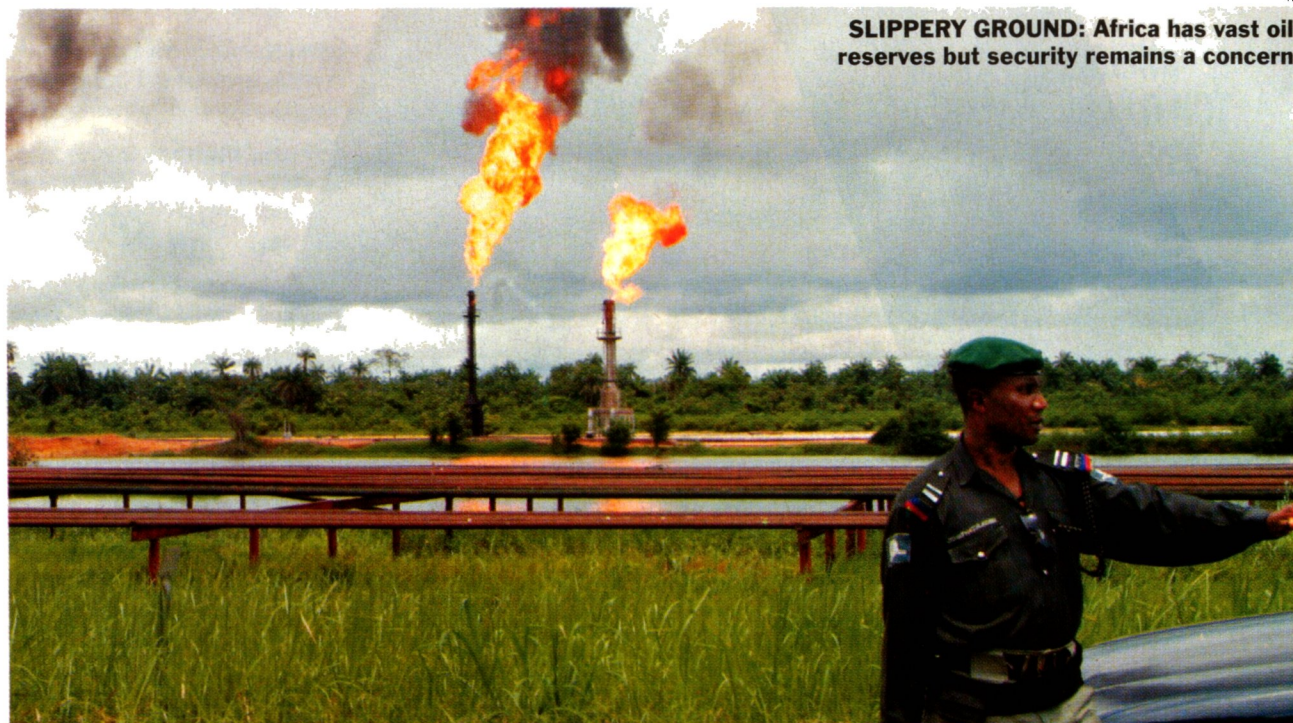


THE AFRICAN OIL RUSH

By hosting key African oil ministers, India mounts a fresh campaign to explore the untapped oil reserves in the continent. But with China, the US and France on the prowl, it needs to act fast.



SLIPPERY GROUND: Africa has vast oil reserves but security remains a concern

■ **By Saurabh Shukla**

The quest for oil and the shrinking global energy pie have brought India closer to Africa. There is a growing concern about meeting India's burgeoning energy needs, as according to the World Energy Outlook brought out by the International Energy Agency, the country's dependence on oil imports will increase to 91.6 per cent by 2020 and it will become the world's third largest net importer of oil, after the US and China.

Fuelled by the need to acquire energy assets in a continent which still has vast reserves of untapped sources, India rolled out the red carpet for two dozen delegations from African countries, that included almost a dozen oil ministers, in Delhi last week. "This realisation (of Africa's huge oil potential) has pushed all of us into adopting a proactive approach for ensuring our energy security. Investing in overseas energy assets has, therefore, become an important aspect of our economic

diplomacy," said External Affairs Minister Pranab Mukherjee.

Almost 70 per cent of India's oil and gas comes from the conflict-prone Gulf region and it wants to widen its crude basket. Currently, Africa meets 16 per cent of India's oil imports (around 18 million tonne) but officials say the strategy is to expand it to 25 million tonne in the next three years. India has identified countries such as Sudan, Gabon, Angola, Egypt, Algeria, Chad, Equatorial Guinea, Mozambique, Libya and Nigeria to focus on.

What makes Africa a global energy hotspot is the quality of its crude—light and sweet, which means viscous and low in sulphur—that is easier and cheaper to refine than the oil from the Gulf. Also most of it is located offshore, which ensures low transport costs. With giants such as the US, France and China scouting for Africa's oil, India needs to move in fast. "Africa is pivotal to our energy security and we have decided to have a sustained engagement with them," says Petroleum Minister

Murli Deora. At present, oil companies such as ONGC Videsh Ltd (OVL) have invested \$5 billion (Rs 19,684 crore) overseas with the bulk of it being in Africa. While India has oil blocks in Sudan, Libya, Nigeria, Ivory Coast and Gabon, it has undertaken a pipeline project in Sudan. Many Indian companies are also exploring newer areas such as Malawi and Mozambique. "Besides exploration and refining, we explained to the oil ministers how Indian companies could assist them in research, technology transfer and training of their technical and managerial personnel in India," said S. Sundaresan, additional secretary, Ministry of Petroleum.

Officials say what India is offering to do now is increase oil trade between refineries, and invest and seek cooperation in marketing Indian petroleum products there. Faced with rivals like China that have used aid and defence packages and support to African leaders at international forums in fighting sanctions, India is trying to match up